outstanding debt is closing in on Rs 4.17 lakh crore, up sharply from about Rs 2.83 lakh crore in 2022. Set against a projected Gross State Domestic Product of about Rs 9.8 lakh crore, its debt to GSDP ratio skims 45 per cent, among the highest for major states. The composition of borrowing, too, tells a revealing story. Officials say nearly 85 per cent of fresh loans are used to service existing debt and interest payments. What's left for new capital expenditure is limited.

The budget seeks to wrap this in a narrative of fiscal stabilisation, projecting growth of around 10 per cent in FY27, a fiscal deficit of 4.08 per cent of GSDP and an effective revenue deficit of about 2.06 per cent. On paper, these numbers suggest a degree of control. The structure of Punjab's public finances, however, reveals deeper challenges.



FINAL STRETCH
Punjab CM Bhagwant Mann after the budget session, Chandigarh, Mar. 8

PRABHJOT GILL

NUMBERS THAT WORRY

Large, recurring obligations dominate expenditure: power subsidies, particularly free electricity for agriculture, remains one of the largest burdens. Government salaries, pensions and interest payments on debt absorb another substantial share. These commitments significantly limit Punjab's capacity to expand investment spending in infrastructure and economic development.

The government has highlighted improvements in revenue mobilisation as evidence that the fiscal situation is stabilising. Punjab's own tax revenues are estimated at around Rs 57,919 crore, supported by stronger excise collections and improved compliance. The administration emphasises that it has avoided new taxes, presenting this as proof that revenues are increasing without imposing additional burdens on citizens.

Even so, the underlying arithmetic is daunting. A state with a debt stock already equivalent to around 160 per cent of its annual budget size has limited room to expand welfare without higher fiscal stress. Then, there's the upcoming Sixteenth Finance Commission, which will determine how central tax revenues are shared with states for the next five-year period. Punjab has already conveyed its concerns about the distribution formula used in the current system, where states with a slower population growth and relatively higher historical incomes often receive a smaller share of tax devolution compared to states with a faster growth and larger populations.

Takeaways

- **Rs 1,000 per month for women; Rs 1,500 for Dalit women in Punjab budget**
- **State's debt, projected at Rs 4.17 lakh crore, is around 45 per cent of its GSDP**

The stakes are high for Punjab. Central transfers through tax devolution and grants make up roughly a third of its revenue receipts. Any trimming would be painful. Punjab is expected to argue that the costs it bears as a border state, besides farm stress and crop residue management, merit special grants.

The budget also attempts to signal an economic shift through a renewed industrial push aimed at attracting around Rs 75,000 crore in fresh investments. The focus is on food processing, electric mobility and green technologies, with the aim of reviving Punjab's manufacturing base and broadening its revenue base beyond agriculture. That's a non-controversial objective that will be endorsed across parties. Whether the Mann regime finds a second life in 2027 or not, the central dilemmas captured in its FY27 budget will also be likely inherited by the next government. ■